advantage to one company. Regulators should adopt a consumer choice system, under which any subsidy for each high cost customer it served. If the customer moved to a competing carrier, the subsidy would move, too.

SUBSTITUTION EFFECT

The replacement of one product for another resulting from a change in their relative prices.

SUNK COSTS

The costs in commercial activities that have been incurred and cannot be reversed. The cost on advertisement, research and development, etc. are examples of such costs. Sunk costs are a big deterrant to new entrants in the commercial world as after the venture has failed these costs cannot be recovered–there is no two-way process here.

SWAP

The act of exchanging one by another. It could be of many economic items:

Currency Swap

The simultanous buying and selling of foreign currencies could be *spot* or *forward/future* currency swaps. This is used by MNCs to minimise the risk of losses arising from exchange rate changes.

Debt swap

Exchanging one debt by another for a fresh term of repayment schedule at the same or usually lower interest rates.

Interest Rate Swap